CSIS JAPAN CHAIR

Japan Daily Brief

Friday, November 13, 2026

1,974 words · 8 min read

RE: Yen hits 160, intervention risk rises · Defense budget squeeze · Takaichi-Xi at APEC uncertain · Host-nation support gap · Quad Philippines

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
61,142.35	159.95	$95.95	1.25%
▲ +4.03%	▲ +1.05%	▲ +3.65%	

TOP STORIES

DEFENSE

Japan warns arms suppliers of deep procurement cuts amid budget squeeze between ¥60T ceiling and ¥70T-plus MOD request

Reuters reports, citing sources, that Japan has warned domestic and foreign arms suppliers to expect substantially lower orders than previously anticipated as the government adjusts the five-year defense budget envelope to roughly *¥60 trillion* against MOD's request of over ¥70 trillion. The notification marks an early signal that Japan's defense buildup trajectory — driven by its 2%-of-GDP commitment reached in JFY2025 — may face fiscal headwinds in its next phase.

REUTERS

ECONOMY-BOJ

Yen falls to 160 per dollar, raising intervention risk as Finance Minister and Chief Cabinet Secretary issue warnings

The yen touched *160 per dollar* — a psychologically significant level — as market bets on a US Federal Reserve rate hike drove Asian currency weakness. Finance Minister Satsuki Katayama warned of potential FX steps after 'one-sided, rapid moves,' and Chief Cabinet Secretary Minoru Kihara separately pledged closer coordination with the US Treasury on currency monitoring.

BLOOMBERG

ALLIANCE

Takaichi looks to meet with Trump to head off defense spending demands

PM **Sanae Takaichi** is pursuing a bilateral meeting with President Donald Trump as Tokyo moves to get ahead of potential US pressure for Japan to increase defense outlays beyond its already-ambitious buildup trajectory. The timing aligns with Jiji Press reporting of a large US ask in host-nation support talks — approximately ¥3 trillion versus Japan's anticipated ¥1.5 trillion — before the current Special Measures Agreement expires in March 2027.

NIKKEI ASIA

CHINA-JAPAN

Can anyone fix the China-Japan relationship?

The Economist examines the state of China-Japan relations ahead of APEC in Beijing, with China remaining silent on whether President Xi Jinping will meet PM Takaichi — a posture corroborated by NHK and Asahi Shimbun reporting. South China Morning Post separately reported that a Chinese 'two-for-one' diplomatic threat had earlier forced Takaichi to adjust her public posture on Taiwan.

THE ECONOMIST

INDO-PACIFIC

Tokyo seeks Takaichi-Putin talks after Russia seizes Japan Tobacco units

Japan is seeking a bilateral meeting between PM Takaichi and President Vladimir Putin following Russia's expansion of temporary state administration to all Japan Tobacco International entities under a presidential order. Nikkei Asia reports the JTI asset seizure is clouding Tokyo's broader investment posture toward Russia and complicating diplomatic channels, while Jiji Press notes Russia is 'ramping up pressure' on Japan one month after the FSB detention of Hokkaido Shimbun journalist Yuki Imai.

NIKKEI ASIA

ALLIANCE

思いやり予算、米３兆円要求　日本１．５兆円想定、交渉難航か

Jiji Press reports the United States is seeking approximately *¥3 trillion* in its host-nation support request for the successor Special Measures Agreement, roughly double the ¥1.5 trillion Japan had been budgeting for. The gap — the largest stated divergence reported to date in the current negotiating round — signals potentially difficult talks ahead of the March 31, 2027 expiry of the existing agreement.

JIJI PRESS

STAT OF THE DAY

¥3 trillion

US demand in host-nation support talks vs. Japan's ¥1.5T expectation

Jiji Press reports the US is seeking approximately ¥3 trillion in host-nation support for the next Special Measures Agreement, double the roughly ¥1.5 trillion Japan had anticipated, flagging potential for difficult negotiations ahead of the current agreement's March 2027 expiry.

思いやり予算、米３兆円要求　日本１．５兆円想定、交渉難航か — Jiji Press

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, NOVEMBER 13, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi hosted a roundtable at the Kantei with companies involved in physical AI and separately confirmed the government will consider a worker benefit program covering over 50 percent of Japan's workforce linked to the food tax cut bill.

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Kihara issues currency warning, pledges US Treasury coordination

Chief Cabinet Secretary **Minoru Kihara** issued an unusually direct warning after the yen weakened into the 159-160 range, stating that 'undervaluation of the yen is a problem' and pledging closer coordination with the US Treasury. Finance Minister Satsuki Katayama separately warned of FX steps in response to 'one-sided, rapid moves.'

→ finance.biggo.com ↗

首相官邸 · PRIME MINISTER'S OFFICE · *Prime Minister Sanae Takaichi*

PM convenes exchange of views with physical AI companies

Prime Minister **Sanae Takaichi** hosted a roundtable at the Kantei with companies involved in physical AI, per the Prime Minister's Office. A separate Kantei item records the LDP's Parliamentary Association of AZEC presenting a proposal to the government.

→ Kantei ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

MOD unit inspection schedule published; five-year defense budget set near ¥60 trillion

Defense Minister **Shinjiro Koizumi**'s unit inspection schedule was posted by MOD. Asahi Shimbun separately reports the government is adjusting the five-year defense budget to around *¥60 trillion*, below MOD's request of over ¥70 trillion — a gap that is driving the arms-supplier order-cut warnings reported by Reuters.

DIET SESSIONS / LDP

LDP / GOVERNMENT

Five-year defense budget adjusted to approx. ¥60 trillion; MOD had sought ¥70-trillion-plus

Asahi Shimbun reports the government is calibrating the five-year defense spending envelope at around ¥60 trillion, below the Ministry of Defense's request of over ¥70 trillion. The gap is feeding the arms-supplier notification of deep order cuts reported by Reuters.

LDP / OPPOSITION

Diet seat-reduction bill submitted by LDP, Ishin, and DPP draws Mainichi editorial criticism

The LDP, Nippon Ishin (Japan Innovation Party), and the Democratic Party for the People jointly submitted a bill to reduce Diet seats. A Mainichi editorial argues the proposal 'would undermine democracy,' with critics questioning whether it is a procedural maneuver rather than genuine reform.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Nov 11, 2026	**53%**	**32.1%**

JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026 · **25d ago**	**47.1%**	**33.3%**
Asahi · Oct 19, 2026 · **25d ago**	**50%**	**35%**
Kyodo · Oct 19, 2026 · **25d ago**	**49.1%**	**33%**
FNN · Oct 19, 2026 · **25d ago**	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026 · **25d ago**	**57%**	**30%**

Discourse: Multiple polls show the Takaichi cabinet at or near record lows (Jiji: 42.4%, Kyodo: 49.1%), even as Yomiuri and Nikkei show higher figures, suggesting divergence across polling houses; the food tax cut bill now in the Upper House and the defense budget squeeze are the dominant domestic political dynamics.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · THE JAPAN TIMES · SUMITOMO MITSUI FINANCIAL GROUP, MIZUHO FINANCIAL GROUP

Sumitomo Mitsui and Mizuho raise annual profit forecasts and announce share buybacks on BOJ rate-hike tailwind

Sumitomo Mitsui Financial Group and Mizuho Financial Group each raised annual profit forecasts and announced share buybacks, with Japan Times noting that Japanese lenders are on a 'record earnings streak' thanks to BOJ interest-rate hikes. Asahi Shimbun separately reports Japan's three megabanks recorded consecutive record interim profits attributable to the same rate-normalization dynamic.

MACRO · REUTERS

Limited US role in July yen intervention undermines deterrent signal as yen retests 160

Reuters reports the US played a limited role in Japan's July yen-buying intervention — with the US Treasury confirmed to have spent *$500 million*, primarily in euros alongside yen — raising questions about whether the coordinated deterrent signal is credible as the yen retests 160. Analysts cited by Reuters note that a US role perceived as marginal reduces the intervention's restraining effect on speculative yen shorts.

MANUFACTURING · NIKKEI ASIA

Japan considers state takeover of aging plants producing critical materials

Japan is examining government acquisition of aging industrial plants that produce critical materials essential to defense and semiconductor supply chains, per Nikkei Asia. The move reflects Tokyo's broader economic-security push to reduce vulnerability in upstream material supply after export-control dynamics with China.

REGIONAL PRESSURE WATCH

Normal — 20 items

CHINA

Beijing continues to withhold confirmation of a Takaichi-Xi bilateral at APEC, with NHK and Asahi reporting the meeting remains unlikely amid persistent tensions over PM Takaichi's Taiwan remarks. China's Foreign Ministry spokesperson — via Global Times — reiterated the maximalist position that accepting the verdicts of the Tokyo War Crimes Trials is 'a prerequisite for Japan's return to the international community after World War II,' maintaining elevated historical-grievance framing as APEC approaches.

NORTH KOREA

Stars and Stripes reports Japan is considering nuclear-powered submarines in response to pressure from potential adversaries, with the report framing North Korea's accelerating weapons-test pace as a driver of that debate. No new DPRK launch or EEZ splashdown activity toward Japan is reported in today's data.

RUSSIA

Jiji Press reports Russia is 'ramping up pressure' on Japan one month after the FSB detention of Hokkaido Shimbun journalist Yuki Imai in Sakhalin; Nikkei Asia separately reports the full JTI asset seizure under a Putin presidential order is clouding Tokyo's investment plans, and Japan is now seeking a Takaichi-Putin bilateral to address the situation.

Senkaku / ECS: No new China Coast Guard intrusion, patrol-day record, or JASDF scramble data relating to the Senkakus is reported in today's Tier 1 or Tier 4 articles.

> *"Accepting Tokyo Trials' verdicts, a prerequisite for Japan's return to the international community after World War II"*
>
> Chinese Foreign Ministry spokesperson · Accepting Tokyo Trials' verdicts, a prerequisite for Japan's return to the international community after World War II: Chinese FM spokesperson — Global Times

Bottom line: Beijing's sustained refusal to confirm a Takaichi-Xi meeting at APEC — now compounded by maximalist historical-grievance rhetoric timed to the summit — represents the primary diplomatic pressure signal to watch this week; simultaneously, Russia's full JTI seizure and journalist detention are testing whether Tokyo can maintain distinct bilateral tracks with both adversaries as APEC approaches.

U.S.-JAPAN RELATIONS

TRADE · BLOOMBERG

US Treasury confirms $500 million spent buying yen in July coordination with Japan

The US Treasury confirmed it spent *$500 million* purchasing yen in July in coordination with Japan, with euros also deployed alongside yen in the operation. Reuters separately reports the limited US role raises questions about whether coordinated intervention signals are sufficiently credible to deter speculative yen selling.

ALLIANCE · MOFA

US-Japan Working Group on Deep-Sea Mineral Resource Development holds second meeting, releases joint statement

MOFA and the US State Department released a joint statement following the second meeting of the Japan-US Working Group on Deep-Sea Mineral Resource Development, signaling continued bilateral cooperation on critical seabed resources. The joint statement was simultaneously released by the US Department of State.

INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea holds separate Sado mine memorial for third consecutive year amid forced labor dispute with Japan

Seoul held its own separate memorial ceremony for Korean forced laborers at the Sado gold and silver mines for the third consecutive year, with South Korea urging Japan to fully acknowledge the history of forced labor at the site.

INDIA · THE JAPAN TIMES

Japan yet to fully activate nuclear power equipment export treaty with India despite New Delhi's 100 GW target by 2047
Japan Times reports that Japan has not yet made full use of its nuclear power equipment export treaty with India, even as New Delhi targets *100 gigawatts* of nuclear capacity by 2047 and net-zero emissions by 2070.

AUSTRALIA · METI STATEMENTS
UK and Japan sign offshore wind industrial compact, deepening energy cooperation
The UK and Japan signed an offshore wind industrial compact to deepen bilateral cooperation on renewable energy development, per METI-linked reporting.

UPCOMING

Nov 13
Upper House food sales tax cut bill deliberation continues
The House of Councillors is in active deliberation on the food consumption tax cut bill; opposition parties are pressing for details on the linked income-based cash benefit program PM Takaichi has pledged to design by FY2027.

Nov 17
Quad leaders' summit in Philippines
Japan, the United States, Australia, and India are reported likely to hold a Quad leaders' meeting in the Philippines on Tuesday, November 17, per Jiji Press.

Nov 17
PM Takaichi bilateral summits with Chile and Peru presidents
Japan confirmed it will host the presidents of Chile and Peru for separate summit meetings next week; exact days within the week were not specified beyond 'next week.'

Nov 17
PM Takaichi departs for Philippines and China (APEC) — 4-day trip from Monday
PM Takaichi is set to visit the Philippines and then China for the APEC summit, her first trip to China as prime minister, in a four-day itinerary beginning Monday, per Kyodo.

Mar 31
Current US-Japan Host-Nation Support Special Measures Agreement expires
The existing Special Measures Agreement covering host-nation support (approximately ¥211 billion/year) expires March 31, 2027; Jiji Press reports the US is seeking approximately ¥3 trillion in the successor agreement vs. Japan's ¥1.5 trillion expectation.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

Read online · Past issues

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:07 AM ET

↑ BACK TO TOP

© 2026 Center for Strategic and International Studies